

Denali Risk Dial

The goal of the risk dial is to proactively identify good and bad trading environments, the “easy dollar” versus “hard penny” markets many seasoned traders recognize. It looks beneath index price action for signs of risk that a steady or rising market can hide.

The dial combines seven components into one score; higher readings reflect stronger combined warnings. We focus on the next 5, 10 and 21 trading days, one week, two weeks and one month. SPY tracks the S&P 500.

Component	Why we watch it	Next 5	Next 10	Next 21
Distribution Dominance	Busy sessions closing below the open outnumber those closing above it; demand may be weakening.	-0.05%	-0.19%	-0.38%
Defensive Leadership	Defensive businesses, more resilient in a slowdown, lead economically sensitive shares; confidence may be fading.	-0.06%	-0.02%	-0.18%
VIX Range Compression	VIX (expected S&P 500 volatility) trades in a tight range above 13 and its recent average; unease may be building.	+0.12%	+0.12%	+0.90%
Low Absorption Ratio	Sectors move separately near highs; a common shock could make them fall together.	+0.11%	+0.21%	+0.48%
Seasonal Rank Divergence	The calendar favors defensive shares; economically sensitive stocks have less seasonal support.	-0.14%	-0.16%	-0.02%
Dispersion	Large individual-stock moves cancel out in a calm index; that balance can break.	-0.41%	-0.13%	-0.16%
NYSE Net Highs	NYSE new lows exceed new highs on a five-session average while SPY is near its high; broad participation is weak.	-0.43%	-0.69%	-0.84%
All dates	Comparison for the warning rows	+0.22%	+0.44%	+0.91%

NYSE net highs are new 52-week highs minus new 52-week lows. The warning reads a five-session exponential average of that total, so a single quiet day does not switch it on or off. It is strongest closest to SPY's high and clears when the average returns to zero.

Main dial	Dates	Next 5	Next 10	Next 21
0<20	2,594	+0.31%	+0.66%	+1.33%
20<40	1,533	+0.29%	+0.45%	+0.80%
40<55	1,087	+0.10%	+0.25%	+0.59%
55<65	448	+0.13%	+0.31%	+0.86%
65<80	318	-0.17%	-0.23%	-0.19%
80+	149	-0.18%	-0.38%	-0.32%
All dates	6,129	+0.22%	+0.44%	+0.91%

Reading it: below 20 has been most supportive; 20 to 40 constructive; 40 to 55 calls for caution; 55 and above is the working warning threshold, set at the 85th percentile of readings, with all three windows negative from 65.

Where it matters most: most components can only fire while SPY is near its trailing high, and on the 3,032 dates closing less than 2% below it the threshold separates positive averages from negative ones at every horizon, -0.11%, -0.08%, -0.10% at 55 or above against +0.19%, +0.39%, +0.73% below the line, while more than 2% below the high a high reading was not followed by weak returns.

Component rows show returns after each warning was active. Study: 8 February 2002 to 18 June 2026; 6,129 common observation dates, the full span over which every component can be measured. Returns include SPY dividends, using prices through 18 September 2026. All tables use the same sample and show average returns. The NYSE Net Highs table covers the 6,043 of those dates whose highs-and-lows record is complete enough to read the warning, and its comparison row uses the same dates.

Readings before August 2018 are reconstructed: they show what the current rules produce when applied to the full price history rather than what was published at the time. The stored record begins in July 2016, but its own first two years are a start-up period in which components that need years of trailing history could not yet register, so the study reads the reconstruction there instead. From August 2018 the stored record takes over unchanged, and since July 2026 each reading is written on the day it is produced and never revised afterwards.